

Topic 6: Estimation

Huang, Cheng-Yang

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Core Questions

- What makes an estimator a “good” estimator?
- When population parameters are unknown, how do we estimate them from a sample?
- Why does the quality of an estimator directly affect SPC monitoring performance?

Outlines:

- 1 Theoretical Definitions
- 2 Mathematical Derivation
- 3 Statistical Interpretation
- 4 SPC Applications

Why Is Estimation Important in SPC?

In SPC, the in-control state of a process is usually described by baseline parameters such as μ_0, σ_0

However, in practice these quantities are usually **unknown** and must be estimated from Phase I historical data

Key points:

- If $\hat{\mu}_0$ is estimated incorrectly, the center line will shift
- If $\hat{\sigma}_0$ is estimated incorrectly, the control limits will become too wide or too narrow
- Incorrect limits may lead to:
 - Too many false alarms
 - Delayed detection of abnormal changes

Therefore, SPC is not only about drawing charts. The first question is:

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How good is the estimator?

Estimators and Sampling Distributions

Suppose

$$X_1, \dots, X_n \stackrel{iid}{\sim} F_\theta$$

where θ is an unknown parameter

An **estimator** is a function of the sample:

$$\hat{\theta} = T(X_1, \dots, X_n)$$

Since $X_1, \dots, X_n$ are random, $\hat{\theta}$ is also a random variable

Therefore, we should not only ask “what value do we get?” , but also ask:

- What is $E(\hat{\theta})$?
- What is $\text{Var}(\hat{\theta})$?
- Does $\hat{\theta}$ converge to the true value θ as $n \rightarrow \infty$?

Bias: Does the Estimator Systematically Deviate from the Truth?

Definition:

$$\text{Bias}(\hat{\theta}, \theta) = E(\hat{\theta}) - \theta$$

If for all θ

$$E(\hat{\theta}) = \theta$$

then $\hat{\theta}$ is called an **unbiased estimator**

Interpretation: Bias measures whether the estimator tends to overestimate or underestimate the true value on average

Example: Suppose $E(X_i) = \mu$ and $\bar{X} = \frac{1}{n} \sum_{i=1}^n X_i$. Then $E(\bar{X}) = \mu$

Therefore, $\bar{X}$ is an unbiased estimator of μ

MSE: Unbiasedness Is Not Enough

The **Mean Squared Error** is defined as

$$\text{MSE}(\hat{\theta}, \theta) = E[(\hat{\theta} - \theta)^2]$$

It can be **decomposed** into

$$\text{MSE}(\hat{\theta}, \theta) = \text{Var}(\hat{\theta}) + \text{Bias}^2(\hat{\theta}, \theta)$$

Key message:

- An estimator can be unbiased but still have very large variance
- A slightly biased estimator may have a much smaller MSE

Example

Goal: Estimate μ , assuming $X_1, \dots, X_n \sim (\mu, \sigma^2)$

Consider two estimators: $\hat{\mu}_1 = \bar{X}$, $\hat{\mu}_2 = 0.8\bar{X}$

First estimator: $E(\hat{\mu}_1) = \mu$, $\text{Var}(\hat{\mu}_1) = \frac{\sigma^2}{n}$, thus $\text{MSE}(\hat{\mu}_1) = \frac{\sigma^2}{n}$

Second estimator:

$$E(\hat{\mu}_2) = 0.8\mu, \quad \text{Var}(\hat{\mu}_2) = 0.8^2 \text{Var}(\bar{X}) = 0.64 \frac{\sigma^2}{n}$$

$$\text{Bias}(\hat{\mu}_2, \mu) = 0.8\mu - \mu = -0.2\mu,$$

$$\text{Therefore, } \text{MSE}(\hat{\mu}_2) = 0.64 \frac{\sigma^2}{n} + (0.2\mu)^2$$

Conclusion: A biased estimator may still have a smaller MSE if its variance is sufficiently reduced

Consistency: Does the Estimator Approach the True Value as the Sample Size Increases?

Definition: If a sequence of estimators $\hat{\theta}_n$ satisfies

$$\hat{\theta}_n \xrightarrow{P} \theta$$

then $\hat{\theta}_n$ is called a **consistent estimator** of θ

That is, for any $\varepsilon > 0$: $P(|\hat{\theta}_n - \theta| > \varepsilon) \rightarrow 0 \quad (n \rightarrow \infty)$

Interpretation:

- With a small sample size, the estimator may have a large error
- As the sample size increases, the estimator should become increasingly stable and closer to the true value

A Common Sufficient Condition: $E(\hat{\theta}_n) \rightarrow \theta$ and $\text{Var}(\hat{\theta}_n) \rightarrow 0$

Example: Bernoulli Distribution

Suppose $X_1, \dots, X_n \stackrel{iid}{\sim} \text{Bernoulli}(\pi)$

where $P(X_i = 1) = \pi$, $P(X_i = 0) = 1 - \pi$

The sample proportion is $\hat{p} = \bar{X} = \frac{1}{n} \sum_{i=1}^n X_i$ and $E(\hat{p}) = \pi$, $\hat{p}$ is an unbiased estimator

Also $\text{Var}(X_i) = \pi(1 - \pi)$

Hence $\text{Var}(\hat{p}) = \frac{\pi(1 - \pi)}{n} \rightarrow 0$

Therefore

$$\hat{p} \xrightarrow{P} \pi$$

So $\hat{p}$ is consistent

Furthermore:

$$T = \sum_{i=1}^n X_i \sim \text{Binomial}(n, \pi)$$

From Estimation to SPC: The Core of Phase I

In Phase I SPC, we first need to establish an in-control baseline

For an $\bar{X}$ -chart, if μ_0 and σ_0 are known, the control limits are

$$UCL = \mu_0 + z_{1-\alpha/2} \frac{\sigma_0}{\sqrt{m}}, \quad LCL = \mu_0 - z_{1-\alpha/2} \frac{\sigma_0}{\sqrt{m}}$$

However, in practice these quantities are usually unknown, so we replace them with estimators $\hat{\mu}_0$ and $\hat{\sigma}_0$.

Thus, the actual control limits become

$$\widehat{UCL} = \hat{\mu}_0 + z_{1-\alpha/2} \frac{\hat{\sigma}_0}{\sqrt{m}}, \quad \widehat{LCL} = \hat{\mu}_0 - z_{1-\alpha/2} \frac{\hat{\sigma}_0}{\sqrt{m}}$$

Potential issues:

- If $\hat{\mu}_0$ is biased, the center line shifts.
- If $\hat{\sigma}_0$ has large variance, the control limits become unstable.
- If the estimators are not consistent, we cannot establish a reliable baseline.

How Estimator Quality Affects Monitoring: Example of a p-Chart

Suppose each subgroup has sample size n , and the defect rate is π . Then

$$\hat{p} = \frac{X}{n}, \quad X \sim \text{Binomial}(n, \pi)$$

In Phase I, we usually use $\bar{p}$ to estimate π_0 .

The control limits of the p-chart are often written as

$$UCL = \bar{p} + z\sqrt{\frac{\bar{p}(1 - \bar{p})}{n}}, \quad LCL = \bar{p} - z\sqrt{\frac{\bar{p}(1 - \bar{p})}{n}}$$

Conclusion

(1) A good estimator should not be judged only by unbiasedness

- $\text{MSE} = \text{Var} + \text{Bias}^2$

(2) Consistency is a requirement for long-run reliability

- $\hat{\theta}_n \xrightarrow{P} \theta$

(3) In SPC, estimation is the foundation of monitoring

- Phase I requires estimation of μ_0 and σ_0 in order to determine control limits
- Control limits determine false alarm rates and detection power

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If the baseline estimation is unreliable,
then the entire SPC monitoring system becomes unreliable.

Thank You